Chapter Sixteen

Consolidation Is Not Labour Reforms

Fair Conditions of Workplaces and Employment are Principal Objectives of Labour Laws

The issues that have received the largest attention of politicians, labour leaders and policymakers relate to pay and allowances, working conditions, employee-employer disputes and the social security of mostly those in the organized sector. Lately, attention has shifted to those in the unorganized sector.

There is no legal and standard definition of what constitutes the organized sector and the unorganized sector. The organized sector was defined indirectly for the first time in the Unorganized Workers' Social Security Act, 2008 (UWSSA-2008) to mean 'an enterprise which is not an unorganized sector'. The unorganized sector was defined to mean 'an enterprise owned by individuals or self-employed workers and engaged in the production or sale of goods or providing service of any kind whatsoever, and where the enterprise employs workers, the number of such workers being less than ten'. These definitions are based on the definition of 'factory' in the Factories Act, which treats all places where manufacture of goods takes place with ten workers or more, if power is used, and twenty or more, if no power is used as a factory. This meant that all manufacture with less than ten workers was not a factory and therefore was unorganized. UWSSA 2008 expanded this concept of less than ten workers to services enterprises as well. It also, by implication, expanded the organized sector to all factories and other enterprises employing more than ten workers, removing the element of using power or manufacturing only.